

THE HOME DEPOT, INC. (NYSE: HD)

Frozen Ground, Solid Foundation

The Pro Contractor Play at a 52-Week Low

Equity Research Note · Consumer Discretionary — Home Improvement Retail · September 28, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
BUY	\$335.00	\$291.16 Sep 25, 2026	+15.1% +18.3% w/ div	Medium Beta 0.96

Market cap	~\$290.4 bn	Shares out. (dil.)	~0.998 bn
Enterprise value	~\$353.6 bn	52-week range	\$289.10 – \$410.95
Net debt	~\$60 bn	1-yr return	-26.4% (S&P; +16.6%)
TTM P/E / FY27E P/E	17.9× / 18.1×	Dividend yield	3.20% (\$9.32 annualized)
TTM revenue	\$176.3 bn	TTM op. margin	~13.5% (adj.)
Next catalyst	Q3'26 earnings, ~Nov 17	Analyst consensus	Moderate Buy, avg PT ~\$376

The stock sits at its 52-week low after a 26% drawdown, yet comparable sales have inflected positive for two straight quarters, the Pro contractor engine (SRS + GMS) is compounding, and the shares trade at ~18× forward earnings — a full multiple-point discount to their own history. Our \$335 target blends a \$318 DCF, \$322 on 20× FY27E EPS, and \$361 on 14.5× FY26E EV/EBITDA. This is research analysis, not personalized investment advice.

Bottom line: a wide-moat category leader priced for a housing freeze that is already showing thaw at the register. BUY.

1 Investment Thesis

Home Depot is the world's largest home-improvement retailer — ~2,350 stores, \$176 billion of trailing sales, and a moat built on scale purchasing, exclusive brands, and an entrenched Pro contractor ecosystem. The market has spent the last year pricing it like a melting ice cube: -26% while the S&P; gained 17%, on the thesis that a frozen housing market (30-year mortgages ~6.3%, existing-home sales near 4 million annualized, a record-low turnover) permanently impairs demand. The register tells a different story.

Comps have turned. Q2 FY2026 comparable sales rose 1.7% globally (1.3% U.S.), the strongest print since Q3 FY2022, beating consensus on sales, comps, and EPS. Q1 was +0.6%. Two quarters of positive comps after a two-year drought is an inflection, not noise.

The Pro engine is the growth story. SRS Distribution (\$18.25B, closed June 2024), GMS (~\$5.5B, closed Sept 2025) and Mingledorff's (\$1.1B, May 2026) build a 1,200+-facility trade-distribution network aimed at the complex Pro — higher tickets, stickier relationships, better margins. Pro is now well over 30% of revenue and management's explicit growth vector, including nationwide 3-hour express delivery launched August 2026.

Valuation has de-rated to attractive. At \$291 the stock trades at 17.9× TTM GAAP EPS (\$16.28), 18.1× our FY27E \$16.10, and 3.2% dividend yield — the highest yield in years ex-crisis. Our three-model blend points to \$332 of fair value, 12% below the \$376 street average: we are deliberately *more* conservative than consensus on multiple and tariff pass-through.

The balance sheet funds the wait. ~\$60B net debt (~2.2× EBITDA) is elevated by the SRS/GMS deals but investment-grade (A2/A), buybacks are paused while debt is paid down (\$3.0B in H1), and the \$9.32 dividend — raised for the 16th+ straight year — is covered ~1.7× by earnings.

Why now: the stock is at its 52-week low *after* the fundamental turn. That is the setup this note is built on.

2 What the Company Does

The Home Depot, founded 1978 and headquartered in Atlanta, Georgia, operates the largest home-improvement retail footprint in the world: roughly 2,350 warehouse-format stores across the U.S., Canada, and Mexico, averaging ~105,000 sq ft of selling space each, plus a fast-growing specialty trade-distribution arm. The customer base splits into three cohorts:

DIY customers — homeowners doing their own projects; roughly half of sales. The most cyclical cohort and the one currently in a 'deferral mindset' on big-ticket discretionary work.

Pro customers — professional contractors, remodelers, and tradespeople; well over 30% of sales and rising. Higher average ticket, repeat purchase, and lower price sensitivity. The strategic center of gravity: SRS (roofing/landscaping/building envelope), GMS (drywall, ceilings, steel framing), and Mingledorff's (HVAC) are pure Pro distribution assets feeding this cohort.

DIFM (do-it-for-me) — installation services (flooring, roofing, HVAC, water heaters) where HD sells the project and manages vetted contractors; a services layer on top of product sales.

Revenue is overwhelmingly North American (~90%+ U.S.), store-driven with a large and accelerating digital arm: online comps grew 11% in Q2, the fifth straight double-digit quarter. Management describes demand as a barbell — average ticket +2.8% while transactions fell 1.0%: fewer, larger baskets; smaller repair/remodel projects and Pro demand offsetting weak big-ticket discretionary (appliances, flooring, kitchen remodels).

Leadership: CEO Ted Decker took temporary medical leave announced August 12, 2026; the company is being run in the interim by EVP Ann-Marie Campbell and CFO Richard McPhail, who led the Q2 earnings call. Capital allocation is in deleveraging mode: share repurchases paused since March 2024 (~\$11.7B authorization remains), with free cash flow directed to the dividend (\$4.6B in H1 FY26) and debt paydown (\$3.0B in H1).

3 Product & Category Evaluation

Home Depot's assortment spans ~1 million SKUs in-store and several million online. We score the major categories on competitive position, moat depth, and forward outlook:

Category	HD position	Moat / edge	Key rivals	Outlook
Lumber & building materials	Category leader	Scale purchasing; SRS/GMS trade network; job-lot delivery	Lowe's, ABC Supply, QXO/Beacon	Strong — Pro tailwind
Tools & hardware	Category leader	Exclusive Milwaukee & Ryobi (TTI); Husky/HDX private label	Lowe's (Craftsman), Amazon	Strong — exclusives defend share
Paint	Co-leader	Exclusive BEHR; deep tint-base installed footprint	Sherwin-Williams, Lowe's	Strong — repaint cycle resilient

Appliances	Top-2 national	Bulk delivery/install network; brand breadth	Lowe's, Best Buy	Neutral — big-ticket deferral
Garden / outdoor living	Leader	Live-goods supply chain; seasonal merchandising machine	Lowe's, nurseries, Costco	Strong — seasonal driver
Flooring & décor	Strong #2	Installation services attach	Floor & Decor, specialty	Neutral — discretionary
Smart home / electrical	Strong	Assortment depth; Pro electrician channel	Amazon, Best Buy	Positive — secular growth
Tool rental	Leader	4,000+ rental bays; Pro cross-sell	United Rentals, Sunbelt	Positive — high ROIC
Installation services	Leader	Vetted contractor network; project management	Lowe's, Angi, local GCs	Positive — DIFM growth

Two structural edges stand out. **First, exclusive brands:** Milwaukee and Ryobi (via TTI), BEHR paint, Husky, HDX, Hampton Bay, Glacier Bay, and LifeProof cannot be bought at Lowe's or Amazon — they convert tool and paint aisles into destination categories with pricing power. **Second, the Pro ecosystem:** SRS/GMS's 1,200+ distribution branches give same-day/next-day jobsite delivery that pure retail cannot match, and the August 2026 launch of nationwide 3-hour express delivery extends that logic to the retail store base. The weak spots are the big-ticket discretionary categories (appliances, flooring, kitchen/bath remodel), where the consumer 'deferral mindset' since 2023 is most visible — these are cyclical, not structural, and they are precisely what a housing-turnover recovery would unlock.

4 Financial Situation

Home Depot is a through-cycle compounder whose earnings have flatlined — not collapsed — through the housing freeze. Revenue compounded through the SRS/GMS acquisitions while organic comps were negative in FY23–FY24; net income troughed in FY25 and is re-accelerating on a TTM basis.

\$ billions (FY ends early Feb)	FY22	FY23	FY24	FY25	TTM*
Revenue	157.4	152.7	159.5	164.7	176.3
Revenue growth	+4.1%	-3.0%	+4.5%	+3.3%	+10.4%
Gross profit	52.8	51.0	53.3	54.9	—
Gross margin	33.5%	33.4%	33.4%	33.3%	33.4%
Operating income	24.0	21.7	21.5	20.9	—
Operating margin	15.3%	14.2%	13.5%	12.7%	~13.5%
Net income	17.1	15.1	14.8	14.2	16.2
Diluted EPS (GAAP)	\$16.69	\$15.11	\$14.91	\$14.23	\$16.28
Operating cash flow	14.6	21.2	19.8	16.3	18.8
Free cash flow	11.5	18.0	16.3	12.7	10.8
Dividends paid	7.8	8.4	8.9	9.2	9.3†

*TTM = Q3 FY25 through Q2 FY26 (quarter ended Aug 2, 2026), derived from SEC filings; includes a one-time ~\$685M IEEPA tariff refund in Q2 (~\$0.52/share after tax). †Annualized \$2.33 quarterly dividend. Sources: company 10-K/10-Q filings, Yahoo Finance.

What the numbers say:

Margins are stable, not broken. Gross margin has held 33–34% for four straight years — remarkable pricing discipline through tariffs and mix shifts. Operating margin compressed from 15.3% (FY22) to 12.7% (FY25) on SRS/GMS integration, deleverage from negative comps, and wage investment; it is re-expanding (Q2 adj. 14.7%) as comps turn.

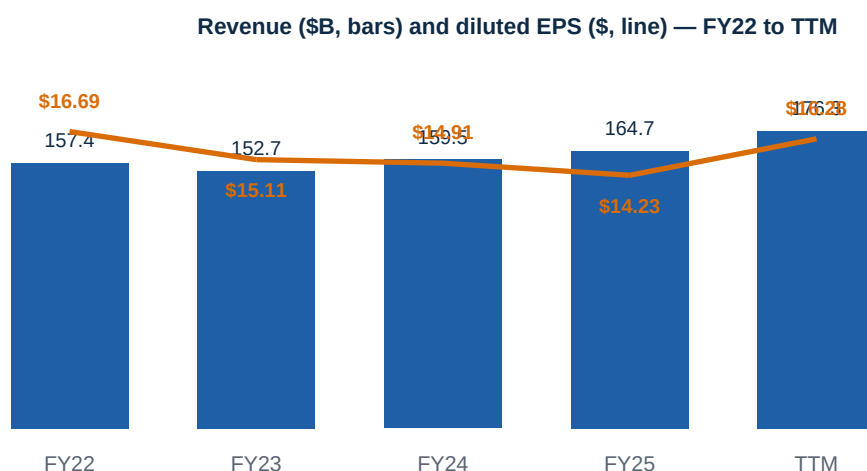
Cash generation is elite. Even in the trough, Home Depot converted >100% of net income to operating cash flow in most years. TTM free cash flow of \$10.8B looks soft, but it absorbs a \$2B YoY inventory

build (turnover 4.6× → 4.5× — a watch item) and tariff working-capital noise; normalized FCF power is \$14–16B+.

Leverage is elevated but manageable. ~\$63B of total debt (~\$44B long-term) reflects the SRS/GMS deals; net debt/EBITDA ~2.2× against an A2/A rating. The pause in buybacks is the right call: \$3.0B of debt retired in H1 FY26 while the 3.2%-yielding dividend — 65% payout on TTM earnings, ~51% of FCF — was raised for the 16th+ consecutive year.

Returns on capital are best-in-class retail. ROIC in the mid-20s% (company disclosure) with negative-equity history now repaired (\$16.6B book equity at Q2). This is a capital-light compounder wearing a cyclical costume.

Revenue and earnings through the freeze



Revenue re-accelerated to double digits on a TTM basis (acquisitions + comp inflection); EPS troughed in FY25 and is recovering. FY = fiscal year ending early February.

5 Growth, Moat & Future Projection

Management's reaffirmed FY2026 guidance (FY ends January 2027): total sales +2.5% to +4.5%, comps flat to +2%, ~15 net new stores, gross margin ~33.1%, operating margin 12.4–12.6% (12.8–13.0% adjusted), effective tax rate ~24.3%, and GAAP/adjusted EPS flat to +4% off \$14.23/\$14.69 bases. The guidance explicitly includes the IEEPA tariff refunds, expected to be offset over the full year by fuel, energy, and input-cost inflation — i.e., the Q2 gross-margin beat was borrowed from the future, and we model accordingly.

Our forward view rests on four pillars:

- 1. The Pro flywheel (the real growth engine).** SRS + GMS + Mingledorff's give Home Depot what neither Lowe's nor Amazon has: a national trade-distribution network with jobsite delivery, trade credit, and cross-sell across roofing, drywall, and HVAC. GMS alone contributed ~\$2.8B of net sales in H1 FY26. Pro is stickier, less price-elastic, and higher-ticket than DIY — every point of mix shift toward Pro is margin-accretive over time.
- 2. Operating leverage on the comp recovery.** With comps turning positive, the deleverage of FY23–FY24 reverses: management guides adjusted operating margin back toward 13% and the store base is essentially fixed-cost. Our FY27E assumes comps +2–3% and ~40 bp of margin recovery.
- 3. Housing-turnover optionality (free).** The stock prices a permanently frozen market, but the cycle will turn: ~70% of mortgages sit below 5% (average effective rate 4.3%), existing-home sales languish near 4M annualized, and Harvard's LIRA sees remodeling growth slowing to 1.6% by year-end 2026 — a trough, not a cliff, on \$522B of annual improvement spending. Any rate relief unlocks deferred big-ticket projects (kitchens, flooring, appliances) where HD over-indexes. We ascribe no recovery in our base case; it is pure upside.

4. Digital and delivery compounding. Five straight quarters of double-digit online comp growth and the August 2026 launch of 3-hour nationwide express delivery extend the moat into speed — the one dimension where Amazon threatened.

Projection (base case): FY26E revenue ~\$170.5B (+3.5%), adjusted EPS ~\$15.00; FY27E revenue ~\$177B (+4%), EPS ~\$16.10 on comp recovery and buyback resumption (we assume the pause lifts in H2 FY27 as leverage falls below 2x). FCF normalizes to \$16–18B as inventory is worked down. Long-run: mid-single-digit revenue growth, low-double-digit EPS growth with buybacks — the classic HD algorithm, delayed not derailed.

6 Competitive Landscape

Home improvement is a two-player national oligopoly with a long tail of specialists. The head-to-head:

Metric (latest reported)	Home Depot (HD)	Lowe's (LOW)
Market cap / EV	\$290B / \$354B	\$106B / \$145B
TTM / FY25 revenue	\$176.3B	\$86.3B (FY25)
Store footprint	~2,350	~1,750
Q2 FY26 comps	+1.7% (+1.3% U.S.)	+0.2% (acq.-driven +8.3% sales)
Gross margin (FY25)	33.3%	33.5%
Operating margin (FY25 / guide)	12.7% / 12.8–13.0% adj.	11.8% / ~11.6%
TTM P/E / forward P/E	17.9x / 18.2x	15.9x / 14.5x
EV/EBITDA	14.3x	11.4x
Dividend yield / streak	3.2% / 16+ yrs	2.6% / 20+ yrs (Aristocrat)
1-year return	-26.4%	-24.2%
Strategic posture	Pro-led: SRS/GMS trade distribution	DIY-weighted; now buying into pro distribution too

Lowe's is the cleaner DIY operator (higher ROIC, Aristocrat dividend) and trades cheaper — 14.5x forward vs HD's 18.2x. But its Q2 revealed the gap: +0.2% organic comps vs HD's +1.7%, with margins compressing while HD's held. Lowe's is now mimicking the Pro-distribution playbook (Foundation Building Materials, Artisan Design Group), validating HD's strategy while trailing its execution. The valuation premium for HD is earned: superior comp momentum, higher margins, and the only scaled Pro network.

Beyond Lowe's: **Amazon** remains the delivery/assortment threat but lacks jobsite logistics and Pro relationships; HD's 3-hour express delivery is a direct answer. **Ace Hardware** (dealer co-op) and **Menards** (Midwest) compete regionally on service and price. **Sherwin-Williams** contests paint via its own stores and Lowe's shelves — BEHR exclusivity is HD's shield. **Specialty distributors** (ABC Supply, QXO/Beacon) are the true Pro rivals; SRS/GMS was built to fight them on their own turf. **Floor & Decor** and **Best Buy** nip at flooring and appliances. None matches HD's combined scale: ~2x Lowe's revenue and the deepest vendor relationships in the industry.

7 Valuation — Four Lenses, One Fair Price

We triangulate fair value with three primary models (DCF, forward P/E, EV/EBITDA) and use a dividend discount model as a conservative cross-check. All models are run off September 2026 inputs: \$291.16 share price, ~0.998B diluted shares, ~\$60B net debt, \$9.32 annualized dividend.

7.1 Discounted cash flow (FCFF) — \$318

We model explicit free cash flow of \$17.0B in FY26E (H1 operating cash flow was \$11.4B; full-year ~\$20.5B less ~\$3.5B capex), growing 7%/6%/5%/4% through FY30 as comps recover and GMS synergies land, then a 2.5% terminal growth rate. WACC of 7.5% reflects a 0.96 beta, ~5.0% risk-free rate, 4.5% equity risk premium, and ~5.5% pre-tax cost of debt (A2/A rated) at 24.3% tax — 82% equity / 18% debt weighting.

\$B	FY26E	FY27E	FY28E	FY29E	FY30E	Terminal
Free cash flow	17.0	18.2	19.3	20.2	21.1	—
Growth	—	+7%	+6%	+5%	+4%	2.5% perp.
PV @ 7.5%	15.8	15.7	15.5	15.2	14.7	300.7

Enterprise value \$377.6B less \$60B net debt = \$317.6B equity ÷ 0.998B shares = **\$318/share**. Sensitivity:

WACC ■ / g →	1.5%	2.0%	2.5%	3.0%
6.5%	362	386	414	447
7.0%	322	340	361	386
7.5%	288	302	318	337
8.0%	259	271	283	298
8.5%	234	244	255	267

The DCF is most sensitive to WACC: at 7% the value is \$361; at 8%, \$283. Our 7.5% sits mid-range for an A-rated retailer in a ~5% 10-year world.

7.2 Relative P/E — \$322

Guidance implies FY26E adjusted EPS of ~\$15.00 (flat to +4% on the \$14.69 base). With comps inflecting and buybacks resuming in FY27, we model FY27E EPS of \$16.10. Home Depot's 5-year median forward P/E is ~21×; we apply a through-cycle **20×** — a discount to history reflecting tariff uncertainty — for **\$322/share**. For context: 18× = \$290 (today's price, i.e., the market prices no recovery), 22× = \$354.

7.3 EV/EBITDA — \$361

We estimate FY26E EBITDA of ~\$29B (13.5% adj. operating margin on ~\$170.5B sales, plus ~\$3B D&A;). HD's historical EV/EBITDA range is 13–16×; we use **14.5×**, below the mid-cycle average given leverage is still elevated post-deals: \$29.0B × 14.5 = \$420.5B EV, less \$60B net debt = \$360.5B equity ÷ 0.998B = **\$361/share**. On TTM EBITDA (~\$27B) the same multiple gives \$332 — the stock screens cheap on either.

7.4 Dividend discount (cross-check) — ~\$183

Gordon growth on the \$9.32 dividend at 4% perpetual growth and 9.3% cost of equity yields ~\$183. We show it for completeness, but it structurally understates value: it credits none of the ~2–3% historical buyback yield (paused since March 2024, not abolished — \$11.7B authorization remains). Treat it as a hard floor, not a target.

7.5 Blended fair value and scenarios

Model	Value	Weight	Contribution
DCF (7.5% WACC, 2.5% g)	\$318	40%	\$127
Forward P/E (20× FY27E \$16.10)	\$322	30%	\$97
EV/EBITDA (14.5× FY26E \$29B)	\$361	30%	\$108
Blended fair value	\$332	100%	\$332
Street consensus (32 analysts)	\$376 avg	—	—
Current price (Sep 25)	\$291	—	—

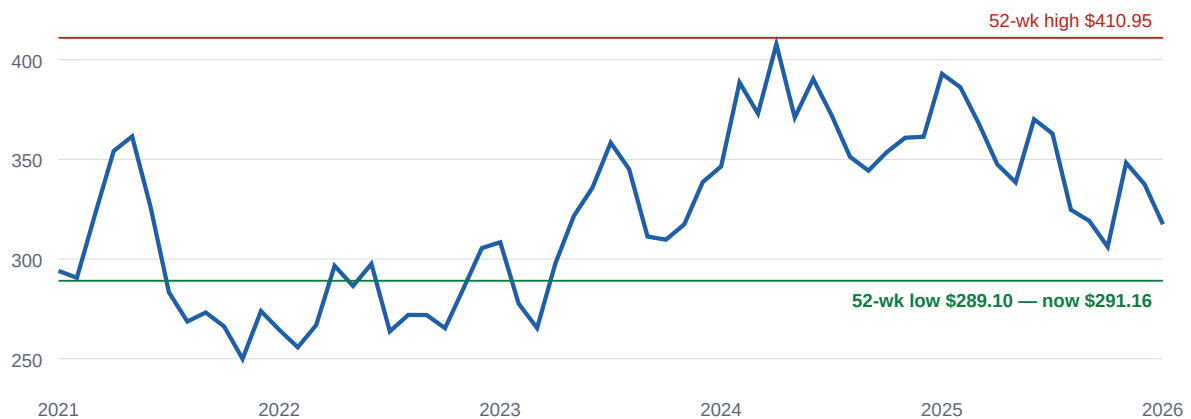
We round the \$332 blend to a **\$335 twelve-month price target** (+15.1% upside; +18.3% including the 3.2% dividend yield). Our target sits ~11% *below* the \$376 street average — a deliberate discount: we assume no housing recovery, no buyback resumption before late FY27, and full tariff pass-through friction. If the cycle merely normalizes, the street's number is the more natural resting place.

Scenario	Target	Assumptions
----------	--------	-------------

Bear — \$240	\$240	Housing stays frozen; comps flat; big-ticket deferral deepens; 16× on depressed \$15 EPS; tariff costs stick.
Base — \$335	\$335	As modeled: comps +1–3%, margin recovery to ~13.5%, FCF \$16–18B, leverage <2× by FY27.
Bull — \$420	\$420	Existing-home sales rebound (+14% per NAR-style forecasts); comps +4%; re-rate to 21× on \$17.50 FY28E EPS; SRS/GMS synergies beat.

Five years: derated to the 2021 price on 2026 earnings power

HD monthly close, Sep 2021 – Sep 2026 (\$)



Five years of earnings growth, zero price appreciation: the multiple compressed from ~24× to ~18× while TTM EPS nearly doubled from the 2021 base. Source: Yahoo Finance.

8 Key Risks

Housing / rates (the big one). HD is a leveraged play on turnover. If mortgage rates stay ~6%+ and existing-home sales languish near 4M, the big-ticket recovery underpinning our FY27E never arrives; comps could re-decelerate to flat. Mitigant: repair/remodel is non-discretionary at the margin, and the Pro mix dampens cyclicity.

Tariff pass-through. The Q2 gross-margin beat was flattered by a one-time \$685M IEEPA refund; management expects fuel/energy/input inflation to offset it over the full year. A 15% across-the-board tariff (floated after the Supreme Court struck down prior duties) would test HD's 'no single foreign supplier >10%' diversification and could force price hikes that hurt units.

Leverage and paused buybacks. Net debt/EBITDA ~2.2× is the highest in HD's modern history. If Pro-distribution integration stumbles or comps disappoint, deleveraging slows and the buyback — historically ~2–3% of annual return — stays sidelined longer.

Big-ticket deferral persistence. The consumer 'deferral mindset' since 2023 has lasted longer than every prior cycle's pause. Appliances, flooring, and kitchen remodel are HD's highest-ticket categories; prolonged deferral caps ticket growth.

Leadership transition noise. CEO Ted Decker's temporary medical leave (Aug 2026) puts interim leaders in charge during the critical holiday planning season. Any extension creates an overhang.

Competition. Lowe's is explicitly copying the Pro-distribution playbook; Amazon keeps compressing delivery expectations; specialty distributors (ABC Supply, QXO/Beacon) will defend Pro share fiercely.

9 Catalysts, Recommendation & What Could Change Our Mind

Catalysts over the next 12 months: (1) Q3 earnings (~Nov 17) — a third straight comp beat would confirm the inflection; (2) any Fed easing that revives existing-home turnover; (3) buyback resumption as leverage falls; (4) GMS synergy disclosure and Pro-mix milestones; (5) CEO return or orderly succession clarity.

Recommendation: BUY, \$335 target. Home Depot offers 15% price upside plus a 3.2% dividend — ~18% total return — for a wide-moat, mid-20s-ROIC compounder trading at its 52-week low on trough-cycle earnings. Our target is deliberately below the \$376 street average: we want to be paid for the recovery, not assume it. Risk is Medium: the business is defensive for a cyclical, but housing beta is real. We would downgrade to HOLD above ~\$345 (where upside no longer compensates) and turn more aggressive below \$270, where even the bear case offers a margin of safety.

What could change our mind: comps re-decelerating to flat/negative for two quarters, net debt/EBITDA failing to decline, or a tariff regime that structurally impairs gross margin below 33%. Conversely, a housing-turnover recovery or buyback resumption ahead of schedule would argue for the street's \$376 — or our \$420 bull case.

Methodology & sources. Financials from SEC 10-K/10-Q filings (CIK 354950) and company earnings releases; market data via Yahoo Finance (prices as of Sep 25–26, 2026); guidance per Q2 FY2026 earnings call and press release (Aug 18, 2026); analyst targets via MarketBeat aggregation (early-mid Sep 2026); housing/remodeling data per NAR and Harvard JCHS LIRA (Jan 2026). TTM figures derived from trailing four reported quarters. Estimates (FY26E/FY27E) are the author's.

Disclaimer. This note is independent research analysis for informational purposes only and is not personalized investment advice, a recommendation to buy or sell any security, or an offer to transact. Equity investing involves risk, including loss of principal. Estimates and targets are inherently uncertain. Do your own due diligence and consult a licensed financial advisor before making investment decisions.